EVERGREEN MANOR AL PAD (MEDICAL ORIENTED DISTRICT)

Town of Cortlandt, Westchester County, NY · 110 units (80 AL · 30 MC) · 6 acres · 60 min to Midtown

Recommendation: Partner role · needs PILOT. VS Construction controls the site and Benchmark is the named operator (Planning Board, Feb 3 2026), so ATCO's role is capital or GC. Fully taxed YOC is 6.39% at norm lease-up; a PILOT lifts it to 7.28%.

CAPITAL REQUIRED	EQUITY · LOAN	YIELD ON COST · PILOT
$61.7M	**$24.7M · $37.0M**	**7.28%**

LEVERED IRR · MULTIPLE	PROFIT AT STABILIZATION	AT RISK BEFORE APPROVAL
13.8% · 1.66x	**$16.4M**	**$2.84M**

THESIS

- **Approvability.** Town created MOD unanimously (2023) to encourage AL/IL/SNF across from NYP Hudson Valley Hospital; grew out of Envision Cortlandt plan. Opposition risk is low-medium (technical, not use).
- **Deal route.** Buy AL pad or JV with VS Construction. Developer-controlled (VS Construction); AL pad ~6 of 28 ac.
- **Need and rents.** Need 65, rent support 73 and approval 68 on a 100-point scale.
- **Returns.** 7.28% yield on cost against a 6.5% floor. Value at a 6.50% exit cap is $79.7M on trended NOI of $5.18M. Max land at the floor is $7.2M against a $8.3M basis.

SOURCES AND USES

Land	$8.25M
Hard cost	$33.03M
Site work	$1.71M
Contingency	$1.74M
FF&E	$2.42M
Soft cost	$6.95M
Construction interest	$2.87M
Lease-up reserve	$4.76M
Total uses	**$61.72M**
Equity, 40% (LP 90% / GP 10%)	$24.69M
Construction loan, 60% LTC	$37.03M

SCHEDULE

Predevelopment and approvals	9 mo
Construction	20 mo
Lease-up to stabilization	29 mo
Site control to sale	**58 mo**

TEAM

Operator, first call	Benchmark (already in)
Operator, second	None needed
General contractor	KBE Building Corporation (alternate Andron Construction)

DOWNSIDE CASES

CASE	YOC	UNLEV. IRR	LEV. IRR	MULTIPLE	PROFIT
Base case	7.28%	7.6%	13.8%	1.66x	$16.4M
Rents −10%	6.52%	4.0%	7.6%	1.33x	$8.2M
Hard costs +10%	6.79%	5.3%	10.0%	1.45x	$12.0M
Exit cap +50 bps	7.28%	5.2%	9.7%	1.44x	$10.8M
Lease-up +6 months	7.16%	6.6%	12.1%	1.66x	$16.6M
Combined downside	**6.00%**	**-0.4%**	**-0.9%**	**0.96x**	**−$1.1M**

All four shocks at once (rents −10%, hard costs +10%, exit cap +50 bps, lease-up +6 months) take yield on cost to 6.00% and the levered IRR to -0.9%, a $1.1M loss on a sale at stabilization.

STRUCTURING THE DOWNSIDE

> **Recommended: GMP contract.** GMP contract, on top of the PILOT already in the base case, holds breakeven: the combined downside still returns $2.0M of profit (6.29% YOC, 1.7% levered IRR).

STRUCTURE	BASE YOC	BASE PROFIT	DOWNSIDE YOC	DOWNSIDE PROFIT	BREAKEVEN?
As underwritten	7.28%	$16.4M	6.00%	−$1.1M	No
GMP contract	**7.28%**	**$16.4M**	**6.29%**	**$2.0M**	**Yes**
GMP + ground lease	7.47%	$16.0M	6.34%	$2.1M	Yes
GMP + operator master lease	6.70%	$2.2M	6.55%	−$3.1M	No
Fee development for a nonprofit	7.99%	$24.1M	6.99%	$9.2M	Yes

KEY RISKS AND HOW WE CLOSE THEM

Entitlement	Special permit / conditional use; approval odds 63% (Even). In Planning Board review; hearing adjourned to 6/2026 (stormwater, fire access); NYSDOT work required.
Lease-up	29 months to stabilization at industry-norm net move-ins (2–4 a month for AL/MC, 3–6 for IL; NIC MAP). The downside case adds 6 months.
Rents	Rents run at 0.90x the base rate card, a calibrated estimate. A NIC MAP pull and a rate shop of the competitive set come before LOI.
Taxes	The return depends on a PILOT (fully taxed YOC 6.39%). Close only on a signed term sheet.

NEXT STEPS

1. Get PB outcome; approach VS Construction.
2. Gate 1 · Feasibility by month 3, $0.12M at risk. Counsel confirms the special permit / conditional use path; the massing fits bulk and parking; Phase I and wetlands flagging are clean.
3. Gate 2 · Political read by month 6, $0.20M at risk. Staff sees a path; town supervisor and a board majority are neutral or supportive; no organized opposition after abutter meetings.

Model outputs for screening, not an appraisal, offer or investment advice. Estimates are replaced with NIC MAP and assessor data before LOI. Full dossier: senior-living-pipeline-1cia.vercel.app/sites/NY-03. Excel model: senior-living-pipeline-1cia.vercel.app/models/ATCO-NY-03-proforma.xlsx